

manufacturing of components. There are several different nomenclatures used in the industry, and this should not result in exclusion of key components,” says Goel.

Investment vs output dilemma

The opportunities arising from the PLI schemes are mammoth, and this is true both for the manufacturers as well the consumers. However, the manufacturers based in India might find the investment threshold to be on the rough side when it gets compared to the output required to be eligible for incentives.

“ELCINA has analysed the impact of the first PLI scheme on components which were addressed partially. The scheme had some major challenges for component manufacturers such as investment threshold of one billion rupees, which was very high and investment turnover ratio which was unrealistically pegged at 1:5 or 1:6, again being out of reach for component manufacturers,” says Goel.

An investment of a billion rupees largely puts a lot of the India based component manufacturers off the track from applying for the scheme. Now while the government had changed the threshold to 250 million rupees in the second round of PLI for components, incremental sales were once again pegged at a billion rupees. This means a capital output ratio of about 1:4, which many believe is not achievable. Ideally, since India is learning to become *aatmanirbhar* in terms of manufacturing electronics and components, the output could have been revised to a lower figure for now and increased once the goals were established keeping five year plans in focus.

“The corresponding minimum investment to turnover ratio may be pegged at 1:2. In some component categories, which are less capital intensive, this ratio may be kept at 1:3,” opines Goel. ELCINA, as Goel further highlights, will be happy to provide a list of such components as well.

Not just limited to the investment threshold, Goel is of the view that the PLI schemes should target inclusion of about 200 companies, and the threshold for each company should be kept at a minimum of 150 million rupees.

Calculation of the Output and Incentives as Assumed

Table 2

	Average Invest- ment/Unit	Number of Companies	Total Investment	Cumulative Investment	Additional Output	Incentive (6%)	Cap: Output
Year 1	12.5	200	2,500	2,500	2,500	0	1.00
Year 2	12.5	200	2,500	5,000	10,000	600	2.00
Year 3	12.5	200	2,500	7,500	15,000	900	2.00
Year 4	12.5	200	2,500	10,000	30,000	1,800	3.00
Year 5				10,000	30,000	1,800	3.00
Total					87,500	5,100	

When the minimum threshold is 150 million rupees, it is imperative that there will be organisations investing much more than that.

As a matter of fact, ELCINA estimates that the actual average investment would be to the tune of 500 million rupees, which simply translates into a capital investment of up to 100 billion rupees over four year time.

For the output part, the same could be fixed at 1:2 in the first two years and then to 1:3 in the fourth and fifth year. The same would not only help local manufacturers establish ground but it might also lay the foundation for bigger and better PLI schemes for the future.

“As per this realistic assumption, these 200 companies investing 10,000 crores (100 billion rupees) over four years would achieve an additional output of 87,500 crores (875 billion rupees) in five years and incentive payment from year two to year five at six per cent will add up to only ₹5,100 crores (51 billion rupees) over five years,” says Goel.

Similarly, the PLI for white goods (LEDs and ACs) has also pegged the capital output ratio to the tune of 1:4 and 1:5. Moreover, there is no flexibility on offer to investors on whether they can invest in the large category or the normal category. For example, as explained by ELCINA, under normal investment for LED components, in the fourth year the minimum investment is 100 million rupees and incremental sale is 480 million rupees. In order to achieve ₹480 million sale, the applicant may require higher investment, and there should be no restriction on the same.

“The mandated capital output ratio of 1:4 or 1:5 is not achievable in the case of most components; ideally this should be between 1:2 and 1:3. Eligibil-

ity for PLI benefit should be subject to achievement of net incremental sales only and investors should have flexibility to apply under Large Category or Normal category,” says Goel.

Then comes the part where there is no clarity on whether the applicant to the white goods PLI scheme (like most other schemes) can supply to other segments or not. Considering the fact that a lot of components used in LED lights and ACs are used by other verticals as well, the government could have allowed and covered manufacturing and supplying of these to other category companies as well.

For instance, if a company has applied for PCB assembly for controllers (LED Light Management Systems), they would not be able to apply for LED drivers or LED engines, even though there is a lot of commonality in the investment, and capacities may therefore be sub-optimally used.

The costs in India and international players

The importance of a local component manufacturing ecosystem could be linked to a study done by Ernst and Young. The study notes that the cost of manufacturing a mobile phone in India is ₹100. However, in competing nations like China and Vietnam, the costs are ₹79.55 and ₹89.05, respectively. After adding the PLI benefits for manufacturing mobile phones in India, the cost comes down to ₹92.51. While that is still not competitive with China and Vietnam, what makes it grimmer is the fact that not all mobile phone manufacturers will be eligible under the scheme.

The government of India has at times mentioned that the PLI schemes are tailored to attract global champions to set shop in the country and to create global champions from India. However,